Defining Investing: The Study of Human Decision-Making

W*HAT IS INVESTING?*

This is a subtler question than you might imagine, one that should not be dismissed lightly. Many finance professionals find it to be one of the more challenging problems they encounter.

Over the years, I have refined my own definition to this:

> Investing is the art of using imperfect information to make probabilistic assessments about an inherently unknowable future.

Take apart my definition and you learn there is a lot of nuance packed into those 17 words.

- *"Art"* refers to the fact that this is not a science, and there is no single optimal solution for everybody.
- *"Imperfect information"* refers to the fact that the information we have is dynamic, incomplete, often confusing, and frequently wrong. No one can know all there is to know at any given moment.
- *"Probabilistic"* recognizes there are many possible outcomes; investors need to plan not just for the ones they hope for but other contingencies as well.
- *"Inherently unknowable"* is a humble acknowledgment of how little we know about the future. Most of the time, we do not—and cannot—know what comes next. This should be reflected in how we manage risk and allocate capital.
- *"Future"* demands optimism. Pessimists have been on the losing side of the trade for all of human history. Setbacks like the dotcom implosion, the GFC and the Covid-19 pandemic were temporary.